

As this method is spelled out in detail in the pages that follow, the average investor will have one predominant reaction. This is that regard-less of how beneficial this “scuttlebutt” method may be to someone else, it is not going to be helpful to him, because he just won't have much chance to apply it. I am aware that most investors are not in a position to do for themselves much of what is needed to get the most from their investment funds. Nevertheless I think they should thoroughly under-stand just what is needed and why. Only in this way are they in a posi-tion to select the type of professional advisor who can best help them. Only in this way can they adequately evaluate the work of that advisor. Furthermore, when they understand not only what can be accom-plished, but also how it can be accomplished, they may be surprised at how from time to time they may be in a position to enrich and make more profitable the worthwhile work already being done for them by their investment advisors.

The business “grapevine” is a remarkable thing. It is amazing what an accurate picture of the relative points of strength and weakness of each company in an industry can be obtained from a representative cross-section of the opinions of those who in one way or another are concerned with any particular company. Most people, particularly if they feel sure there is no danger of their being quoted, like to talk about the field of work in which they are engaged and will talk rather freely about their competitors. Go to five companies in an industry, ask each of them intelligent questions about the points of strength and weakness of the other four, and nine times out of ten a surprisingly detailed and accurate picture of all five will emerge.

However, competitors are only one and not necessarily the best source of informed opinion. It is equally astonishing how much can be learned from both vendors and customers about the real nature of the people with whom they deal. Research scientists in universities, in government, and in competitive companies are another fertile source of worthwhile data. So are executives of trade associations.

In the case of trade association executives especially, but to a great extent the other groups as well, it is impossible to lay too much stress on the importance of two matters. The inquiring investor must be able to make clear beyond any doubt that his source of information will never be revealed. Then he must scrupulously live up to this policy. Otherwise, the